

Limited Access to Capital

Jones imposed restrictions on capital in his first HF. As some of his investment strategies involved short positions requiring the posting of collateral, he imposed restrictions so that investors would not be withdrawing capital when he needed it to post margin. Many, but not all, modern HFs follow Jones and do not allow investors to redeem their money immediately (unlike 40-Act funds, from which investors can get their money back at least daily).

Limited Disclosure

Whereas 40-Act funds have to report what they hold (at least quarterly for mutual funds and at least daily in the case of exchange-traded funds), HFs are secretive. Most HFs provide only coarse breakdowns of their investments and fuzzy details of their investment strategies.¹⁶ Since March 30, 2012, however, HFs with assets exceeding \$150 million have been required to register and report information on assets, certain trades, their brokers, leverage, counterparty exposures, and how they value illiquid assets.¹⁷ But they must make these disclosures only to the Securities and Exchange Commission (SEC), not to the limited partner asset owners.

Manager Fees (Are High and) Involve Significant Performance Components

Whereas mutual fund regulations do not permit nonlinear manager compensation (see chapter 15), HFs are free to do what they want. A large component of how they are paid is through nonlinear *incentive payments*.

2.3. HEDGE FUND FLOWS

At the end of 2012, investors allocated over \$2.25 trillion to HFs as measured by HFR, a HF database. This is a conservative lower bound. Since HFs are not subject to the strict reporting requirements of 40-Act funds, the full size of the industry is unknown. (Remember, only large HFs must report to the SEC, and at the time of writing in 2013 the SEC had not yet released any tabulation of the information it receives.) Bear in mind that HFR is a single data vendor, and different funds report to different data vendors—if they report at all.¹⁸

¹⁶ If a HF belongs to a HF family run by a large asset management firm with more than \$100 million in assets, then the overall firm has to report security holdings every quarter (these are called 13(f) filings) but not holdings for a single HF. Short positions are not covered under 13(f) reports.

¹⁷ This is under the Private Fund Investment Advisers Registration Act of 2010 in Title IV of the Dodd-Frank Act.

¹⁸ The overlap of HFs reporting to even more than one of the standard databases is small. Fung and Hsieh (2006) report that fewer than 3% of HFs report to all of the five main databases used by researchers. See also Agarwal, Fos, and Jiang (2013).